



Research report | September 2026

Bank of Japan Policy Normalization

Impact on Japanese Investment in U.S. Bonds and Global Capital Flows

Examines the Bank of Japan's historic monetary policy normalization and its implications for global capital flows, U.S. Treasury markets, and the yen carry trade.

BOJ policy rate

1.25%

Set September 2026

Yield differential

211 bps

U.S.-Japan 10-year
spread

U.S. Treasuries held

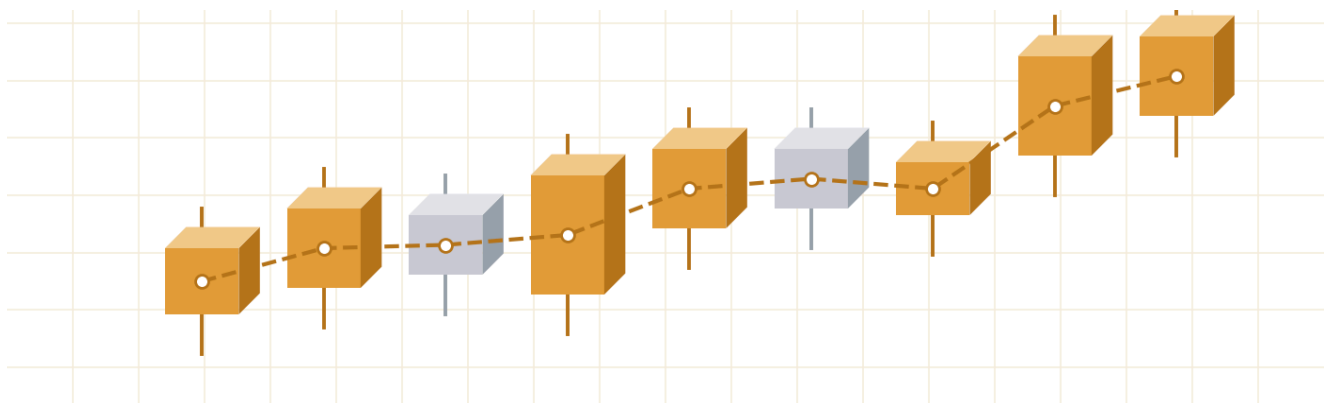
\$1.1T

Japan, as of July
2026

BOJ vote

7-2

September 2026 rate
hike



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This report examines the Bank of Japan's historic monetary policy normalization and its implications for global capital flows, U.S. Treasury markets, and the yen carry trade.

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AT A GLANCE

BOJ policy rate 1.25% Set September 2026	Yield differential 211 bps Compressed from 300+ bps	U.S. Treasuries held \$1.1T Down from \$1.239T in February 2026	BOJ vote 7–2 Board majority for hike
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All data cited in this report reflects publicly available information as of September 2026. Japan holds approximately **\$1.1 trillion** in U.S. Treasuries as of July 2026.



1

Executive Summary

The Bank of Japan's shift toward monetary policy normalization marks a pivotal moment for global capital flows. After decades of ultra-low interest rates, the BOJ raised its policy rate to **1.25%** in September 2026, signaling a fundamental change in Japan's monetary stance. This normalization is gradually reducing the relative attractiveness of U.S. bonds for Japanese investors and creating conditions for potential capital repatriation.

U.S. Treasuries held**\$1.1T**

Japan's holdings as of July 2026, down from \$1.239T in February 2026

BOJ policy rate**1.25%**

Set in September 2026 after decades of near-zero rates

Yield differential**211 bps**

U.S.–Japan 10-year spread, compressed from 300+ bps

BOJ vote**7–2**

Board majority in favor of September 2026 rate hike

Historical Driver

Japanese investment in U.S. bonds was driven by a structural capital-flow relationship: low domestic yields created incentives for institutions to seek higher returns overseas, particularly in U.S. Treasuries.

The Yield Differential

The critical metric is not the absolute U.S. yield, but the yield differential between U.S. and Japanese bonds *after* accounting for currency-hedging costs — the primary driver of Japanese overseas investment.

Changing Environment

As JGB yields rise toward **3.07%** on the 10-year maturity, the relative advantage of U.S. bonds is narrowing. The 10-year U.S.–Japan yield differential has compressed from over **300 bps** to approximately **211 bps**.

Capital Repatriation Risk

BOJ normalization creates conditions for gradual Japanese capital repatriation — likely through reduced new purchases, lower reinvestment of maturing securities, and increased domestic bond allocations.

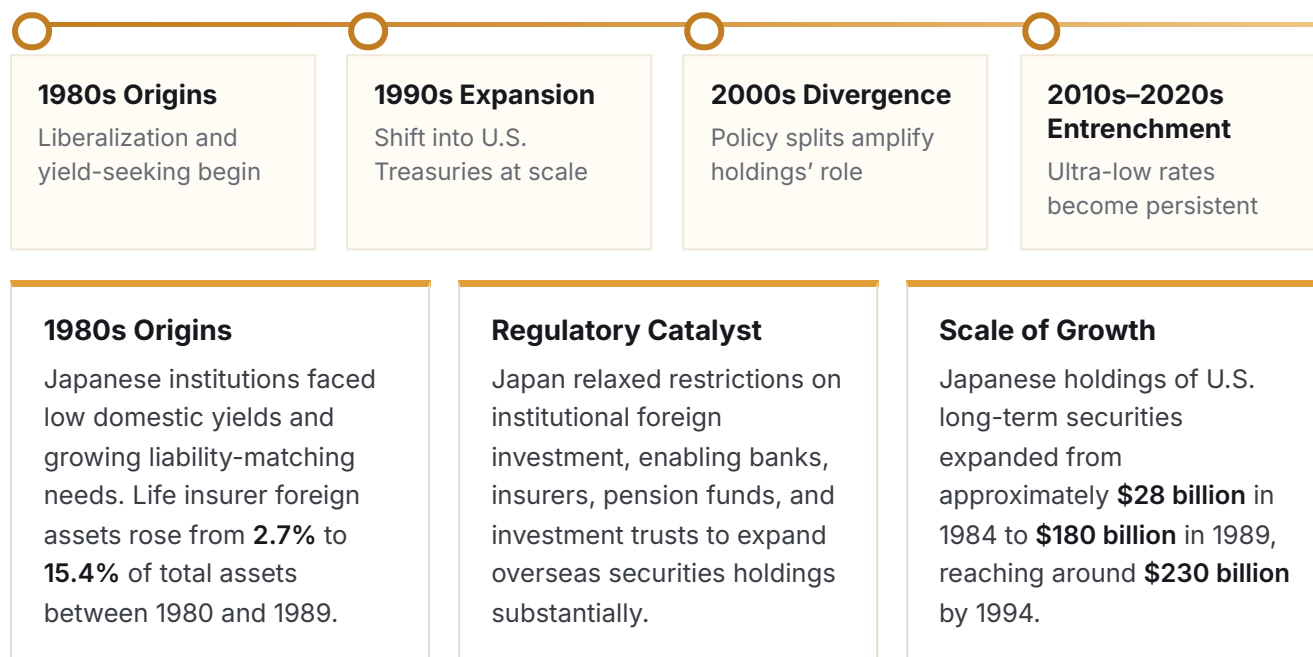
Strategic Implications: The BOJ's normalization process represents a structural shift in global capital flows. Investors should monitor Japanese institutional behavior, yield differentials, and FX-hedging costs as key indicators of potential capital reallocation. The ultimate impact on U.S. Treasuries and global bond markets will depend on the pace of BOJ tightening, Fed policy, and whether other investors can absorb reduced Japanese demand.

2 Historical Context

PART 1

Historical Context: Japan's Investment in U.S. Bonds

Understanding the current policy normalization requires tracing the structural origins of Japan's role as one of the world's largest foreign holders of U.S. Treasuries — a relationship forged over four decades of monetary and regulatory evolution.



Japan's Low-Rate Environment & the Capital-Flow Mechanism

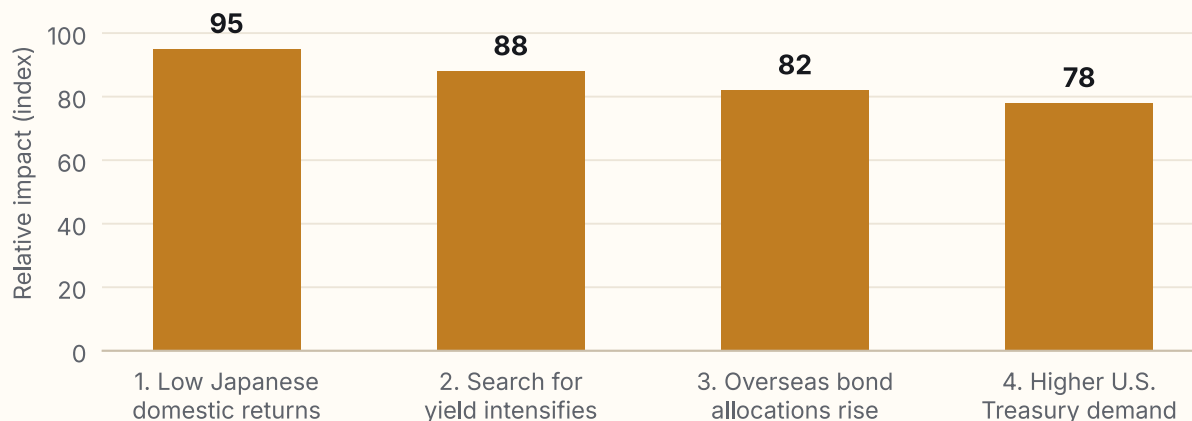
The structural capital-flow relationship between Japan and U.S. fixed-income markets intensified as Japan entered its prolonged period of low economic growth, low inflation, and compressed interest rates. The mechanism became self-reinforcing: as BOJ policy remained accommodative, Japanese institutions systematically sought overseas yield.

Each stage of the mechanism compounds into the next, creating a durable structural demand for U.S. fixed income driven by Japanese domestic monetary conditions.

FIGURE 1

Relative impact on capital flow

By stage of the capital-flow mechanism



Relative impact index. Each stage compounds into the next.

01 Domestic Returns Compressed

BOJ near-zero policy rates reduce yields across the JGB curve, removing domestic income for institutions with liability obligations.

02 Yield Search Intensifies

Banks, insurers, and pension funds systematically expand allocations to higher-yielding foreign assets to meet return targets.

03 U.S. Treasuries Preferred

Deep liquidity, high credit quality, long-duration availability, and superior yields make U.S. bonds the natural destination.

04 Structural Demand Established

Persistent buying creates a self-reinforcing cycle — Japan becomes a cornerstone buyer of U.S. Treasuries across rate cycles.

The mechanism became particularly powerful during mid-2000s policy divergence, when U.S. rates tightened while the BOJ maintained exceptional accommodation — directly encouraging increased purchases of U.S. Treasury and agency securities.

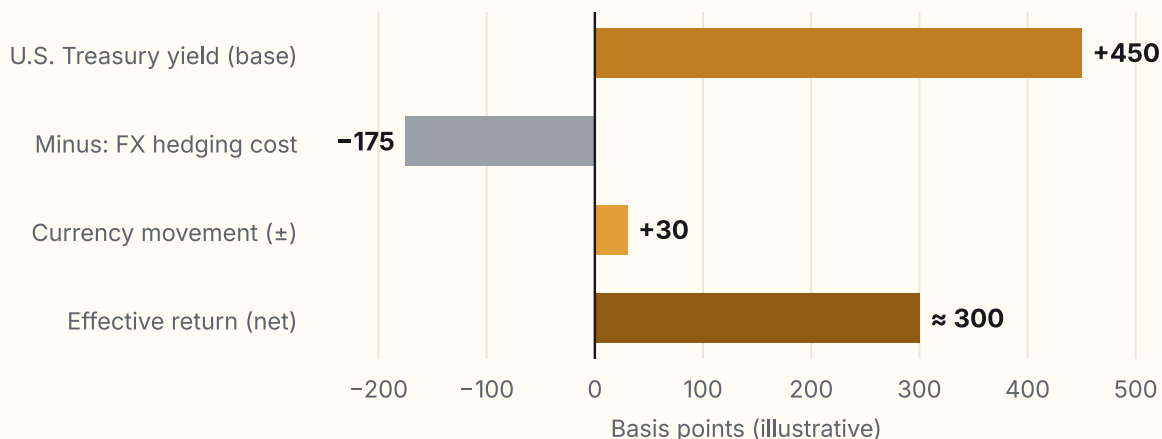
The Key Factor: Yield Differential & Currency Hedging

A Japanese investor does not simply compare the U.S. Treasury yield to a Japanese bond yield in isolation. The critical calculation involves the **effective return after currency hedging** — a distinction that fundamentally shapes Japanese overseas investment behavior.

FIGURE 2

The effective return calculation

Illustrative decomposition, in basis points



Illustrative values.

The hedging cost is typically determined by the interest rate differential between the U.S. and Japan via cross-currency basis swaps. As BOJ rates rise, hedging costs fall — but so does the absolute yield advantage.

Unhedged Investors

Bear full currency risk. Benefit when USD strengthens against JPY. Subject to sharp losses during yen appreciation episodes — as seen in August 2024.

Hedged Investors

Lock in a defined effective return via FX forwards or cross-currency swaps. Hedging costs reduce, but do not eliminate, the yield advantage over JGBs.

The True Comparison

Investment decision: **U.S. Treasury yield (hedged) vs. JGB yield**. As this spread narrows, the case for overseas investment weakens structurally.

The relevant comparison is never the headline U.S. yield — it is always the yield after the cost of converting returns back into yen.



3

BOJ Normalization in 2026

PART 2

BOJ Normalization in 2026: Policy Rate & Inflation Dynamics

The Bank of Japan's September 2026 rate decision — raising the policy rate to **1.25%** by a 7–2 board vote — represents the most significant shift in Japanese monetary policy in a generation. The normalization is underpinned by durable inflation and wage growth that the BOJ judges to be consistent with its 2% price stability target.

Current rate**1.25%**

BOJ policy rate, September 2026

Board vote**7–2**

September 2026 decision

Consecutive hikes**5**

Following negative rates from 2016 through early 2024

The rate trajectory illustrates a measured but accelerating normalization. Having maintained negative rates from 2016 through early 2024, the BOJ has now executed five consecutive hikes — each signaling growing confidence in Japan's economic recovery.

Inflation Persistence

Core CPI has sustained above the BOJ's 2% target for over two years, providing the fundamental justification for continued normalization.

Wage Growth Confirmation

The annual Shunto wage negotiations delivered multi-decade high increases, establishing the wage-price dynamic the BOJ identified as a prerequisite for sustained tightening.

Governor Ueda's Framework

A data-dependent approach: each hike is conditioned on confirming economic and price developments align with projections — dissenting votes reflect ongoing internal debate on tightening pace.

4

Investment Equation

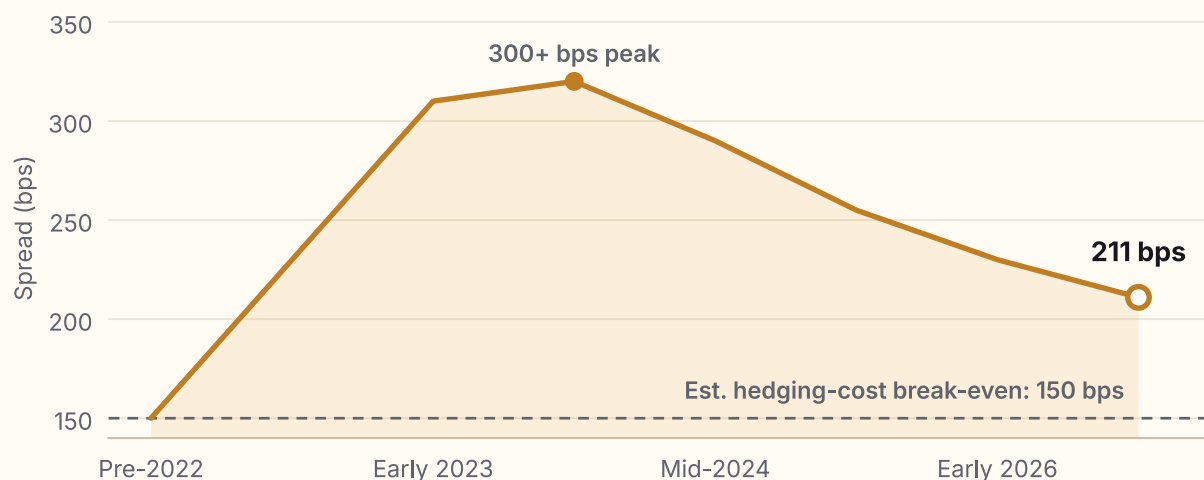
PART 3

The Changing Investment Equation: Yield Differential Analysis

BOJ normalization directly erodes the structural incentive for Japanese institutions to hold U.S. Treasuries. The compression of the U.S.–Japan yield differential — from over **300 basis points** to approximately **211 basis points** — represents a fundamental repricing of the overseas investment opportunity.

FIGURE 3
U.S.–Japan 10-year spread

Approximate trajectory against the estimated hedging-cost break-even



Approximate trajectory, in basis points.

The 10-year JGB yield has risen toward **3.07%** from historic lows near zero. As the spread narrows toward and eventually below FX hedging costs, the incentive for Japanese institutions to invest in U.S. Treasuries diminishes structurally — triggering reallocation toward domestic bonds.

Japan Holdings Decline

Japan's U.S. Treasury holdings fell from **\$1.239 trillion** in February 2026 to **\$1.1 trillion** in July 2026 — a reduction of approximately \$139 billion in five months.

Repatriation Mechanism

Adjustment occurs through: reduced new purchases, lower reinvestment of maturing securities, and explicit portfolio reallocation toward JGBs — not necessarily outright selling.

FX Hedging Break-Even

When the hedged U.S. yield falls below the JGB yield, overseas investment becomes uneconomic on a risk-adjusted basis — a threshold approaching as normalization continues.

Carry Trade Erosion

Borrowing yen at low rates to invest in higher-yielding foreign assets becomes less profitable. Leveraged carry positions unwind, adding downward pressure on foreign assets and upward pressure on JPY.



5 Global Market Impacts

PART 4

Reduced Japanese demand for U.S. Treasuries and foreign bonds carries significant implications across multiple asset classes. The transmission operates through three primary channels: Treasury market mechanics, currency markets, and global bond spillovers.

A U.S. Treasury Market

Japan is the largest foreign holder of U.S. Treasuries. Reduced Japanese demand — even through slower reinvestment rather than outright sales — increases the effective supply of Treasuries that domestic and other foreign investors must absorb. This places upward pressure on yields and could widen the term premium at longer maturities.

B USD/JPY Exchange Rate

Capital repatriation requires converting foreign currency proceeds back into yen. Large-scale repatriation supports JPY appreciation. A strengthening yen feeds back into hedging costs and further reduces the attractiveness of unhedged foreign exposure — a self-reinforcing dynamic that amplifies initial capital flows.

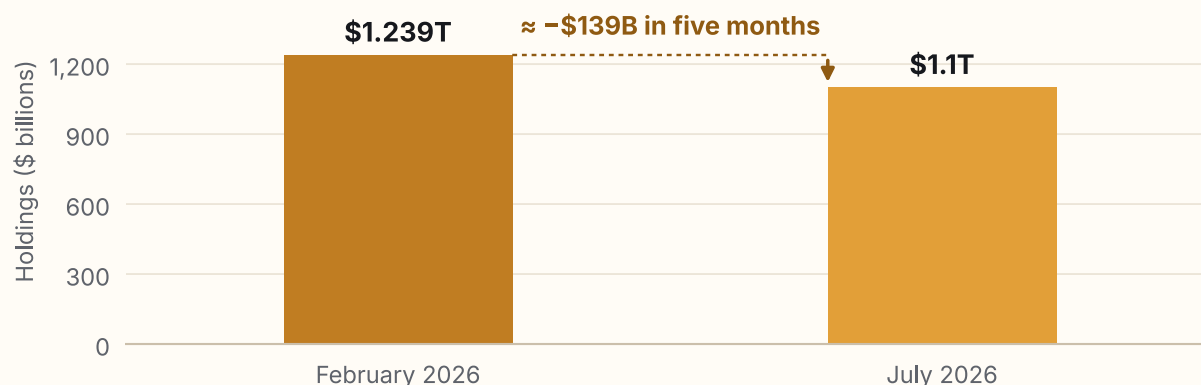
C Global Bond Markets

Japan is among the largest foreign investors in European and other global bond markets. Reduced Japanese buying pressure could raise yields across sovereign bond markets globally, increasing government borrowing costs — particularly in markets where Japanese institutions have been structural buyers.

FIGURE 4

Japan U.S. Treasury holdings trajectory

February 2026 versus July 2026



Japan U.S. Treasury holdings, in \$ billions.

6 Carry Trade & Conclusion

Yen Carry Trade Dynamics

The yen carry trade — borrowing at near-zero JPY rates to invest in higher-yielding foreign assets — has been a source of substantial capital outflow from Japan. As BOJ rates rise:

- The cost of yen borrowing increases, compressing carry trade profitability
- Leveraged positions become harder to justify on a risk-adjusted basis
- Forced unwinding during volatility events (as in August 2024) creates sharp, disorderly asset price moves
- Structural unwind is slower but more durable than crisis-driven episodes

The 7–2 vote on the September hike signals broad but not unanimous policy consensus — dissenting members remain concerned about tightening pace, providing some reassurance against abrupt acceleration.

Conclusion & Key Takeaways

The Bank of Japan's policy normalization is not merely a domestic monetary policy adjustment — it represents a structural inflection point for global capital flows that have been shaped by Japanese yield-seeking behavior for over four decades. The unwinding of this relationship will be gradual but persistent.

1 Monitor Yield Differentials

Track the U.S.–Japan 10-year spread and hedged returns as the primary indicator of Japanese institutional incentive to hold overseas assets.

2 Watch Reinvestment Behavior

The most likely adjustment is reduced reinvestment of maturing U.S. Treasuries rather than outright selling — monitor Japanese TIC data monthly.

3 FX Hedging Cost Signals

Rising Japanese rates reduce hedging costs but also narrow the spread; track cross-currency basis swaps as a leading indicator of allocation shifts.

4 BOJ Pace & Fed Policy

The net impact depends on relative policy trajectories; divergence between BOJ acceleration and Fed cuts would amplify repatriation dynamics.



What Has Changed

A structural, four-decade capital flow relationship driven by Japanese yield-seeking is being repriced. The absolute and hedged yield advantage of U.S. Treasuries has materially compressed, and the BOJ has signaled a durable commitment to normalization.

What Remains Uncertain

The pace of BOJ tightening, the resilience of U.S. fiscal borrowing needs, and whether other global investors can absorb reduced Japanese demand without significant yield disruption remain open questions.

The ultimate test is not whether Japan sells U.S. Treasuries — it is whether the structural demand that has suppressed U.S. long rates for decades quietly fades. That process has already begun.

Reduction in holdings

\$139B

Reduction in Japan's U.S. Treasury holdings in just 5 months (Feb–Jul 2026)

Current 10Y spread

211 bps

Current U.S.–Japan 10Y spread, down from 300+ bps — and still compressing



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Disclaimer

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Date of preparation

September 2026

Distribution

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